UNIVERSITY OF LUCKNOW (DEMO)

Department of Commerce, Faculty of Commerce

BCM-301 Corporate Accounting (demo code)

B.Com, Semester 3 (2026-27)

Credits: 4. Maximum marks: 100 (internal assessment 25: two sessional tests and assignments; end-semester examination 75).

Approved by: Board of Studies, Commerce (demo), July 2026.

Demo document: fictional data prepared for a Walnut Learning Suite demonstration. Not an official syllabus or publication of the University of Lucknow.

Course objectives

To develop the ability to prepare and interpret the accounts of joint stock companies in line with the Companies Act, 2013, Schedule III and the applicable Accounting Standards.

Units, topics and teaching hours

Unit 1: Issue, forfeiture and reissue of shares (12 hours)

Kinds of shares; issue at par, at a premium and at a discount; pro-rata allotment; calls in arrears and calls in advance; forfeiture and reissue of shares; securities premium under the Companies Act, 2013

Unit 2: Redemption of preference shares and debentures (12 hours)

Legal provisions for redemption; Capital Redemption Reserve; redemption out of profits and out of a fresh issue; redemption of debentures by lump sum, instalments, sinking fund and open-market purchase

Unit 3: Final accounts of companies (Schedule III) (14 hours)

Statement of profit and loss and balance sheet in the Schedule III format; current and non-current classification of assets and liabilities; adjustments for managerial remuneration, proposed dividend and provisions; notes to accounts

Unit 4: Amalgamation and internal reconstruction (12 hours)

Accounting for amalgamations (AS 14); purchase consideration by the net assets and net payment methods; entries in the books of the transferor and transferee companies; schemes of internal reconstruction and capital reduction

Unit 5: Accounts of holding companies (10 hours)

Pre-acquisition and post-acquisition profits; minority interest; cost of control; inter-company transactions and unrealised profit; consolidated balance sheet of a holding company and one subsidiary

Total: 60 teaching hours.

Course outcomes (COs)

On completing BCM-301, the learner will be able to:

- BCM301.1.1 (apply): Record journal entries for the issue of shares at par, at a premium and on a pro-rata basis.
- BCM301.1.2 (apply): Account for the forfeiture and reissue of shares and transfer the

gain to capital reserve.

- BCM301.1.3 (understand): Explain the provisions of the Companies Act, 2013 on the issue of shares and securities premium.
- BCM301.2.1 (understand): Explain the legal requirements for redemption, including the Capital Redemption Reserve.
- BCM301.2.2 (apply): Prepare entries for the redemption of preference shares out of profits and a fresh issue.
- BCM301.2.3 (apply): Account for the redemption of debentures through a sinking fund and open-market purchase.
- BCM301.3.1 (apply): Prepare the statement of profit and loss and the balance sheet in the Schedule III format.
- BCM301.3.2 (understand): Classify items as current or non-current assets and liabilities.
- BCM301.3.3 (analyze): Analyse adjustments for managerial remuneration, proposed dividend and provisions.
- BCM301.4.1 (apply): Compute purchase consideration by the net assets and net payment methods.
- BCM301.4.2 (apply): Prepare entries in the books of the transferor and transferee companies (AS 14).
- BCM301.4.3 (evaluate): Evaluate a scheme of internal reconstruction and draft the capital reduction entries.
- BCM301.5.1 (apply): Calculate pre-acquisition and post-acquisition profits and minority interest.
- BCM301.5.2 (analyze): Analyse the treatment of inter-company transactions and unrealised profit.
- BCM301.5.3 (create): Prepare a consolidated balance sheet of a holding company and one subsidiary.

Reading list

- A. K. Srivastav and N. Mehrotra. Corporate Accounting: Principles and Practice. 6th edition, 2025. Gomti Academic Press (demo). Prescribed textbook; units 1, 2, 3, 4, 5.
- P. C. Bhargava. Company Accounts with Schedule III Illustrations. 3rd edition, 2024. Awadh Publishing House (demo). Reference book; units 3, 4.
- S. Kesarwani. Advanced Accountancy, Volume II. 11th edition, 2023. Hazratganj Book Company (demo). Reference book; units 4, 5.

Assessment

Two sessional tests (units 1-2 and units 3-5), one assignment on Schedule III final accounts and an end-semester examination. Answer scripts are evaluated on screen.

Code prefix for course outcomes in the Walnut Learning Suite: BCM301.